

WHITMORE PRODUCTS COMPANY

FINANCIAL STATEMENTS

For the Year Ended December 31, 2024

(With Independent Auditor's Report Thereon)

INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Stockholders of
Whitmore Products Company

Opinion

We have audited the financial statements of Whitmore Products Company, which comprise the balance sheet as of December 31, 2024, and the related statements of income and stockholders' equity and cash flows for the year then ended, and the related notes to the financial statements. In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024, in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists.

In performing an audit in accordance with GAAS, we exercise professional judgment and maintain professional skepticism throughout the audit. We identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks; obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing

an opinion on the effectiveness of the Company's internal control; evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as the overall presentation of the financial statements; and conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

/s/ Hartwell & Vance, CPAs

Columbus, Ohio

February 18, 2025

BALANCE SHEET

December 31, 2024

ASSETS

Cash - operating	\$700,000
Money market reserve	\$280,000
Accounts receivable - trade	\$398,162
Allowance for credit losses	\$(19,554)
Inventory - raw materials	\$10,058
Inventory - work in process	\$7,826
Inventory - finished goods	\$20,441
Prepaid expenses	\$17,504
Property and equipment	\$4,793,423
Accumulated depreciation	\$(3,968,918)
Deferred financing costs	\$52,500
TOTAL ASSETS	\$2,291,442

LIABILITIES AND STOCKHOLDERS' EQUITY

Accounts payable	\$50,719
Accrued expenses	\$3,699
Accrued payroll	\$3,440
Notes payable	\$3,500,000
Total liabilities	\$3,557,858
Stockholders' equity	\$(1,266,416)
TOTAL LIABILITIES AND EQUITY	\$2,291,442

STATEMENT OF INCOME

For the Year Ended December 31, 2024

Revenue	\$3,092,110
Operating and other expenses	\$2,697,738
NET INCOME	\$394,372

STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY

For the Year Ended December 31, 2024

Stockholders' equity, beginning of year	\$(1,266,416)
Net income	\$394,372
Dividends paid	\$(394,372)
STOCKHOLDERS' EQUITY, END OF YEAR	\$(1,266,416)

STATEMENT OF CASH FLOWS

For the Year Ended December 31, 2024

Cash flows from operating activities	
Net income	\$394,372
Depreciation	\$549,670
Net cash provided by operating activities	\$944,042
Cash flows from investing activities	
Purchases of property and equipment	\$(3,167,670)
Net cash used in investing activities	\$(3,167,670)
Cash flows from financing activities	
Proceeds from debt issuance	\$3,500,000
Dividends paid	\$(394,372)
Net cash provided by financing activities	\$3,105,628
Net change in cash and equivalents	\$882,000
Cash and equivalents, beginning	\$98,000
CASH AND EQUIVALENTS, END OF YEAR	\$980,000

NOTES TO FINANCIAL STATEMENTS

Note 1 - Nature of Business and Summary of Significant Accounting Policies

Whitmore Products Company (the Company) prepares its financial statements on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America.

Revenue is recognized as the Company satisfies its performance obligations.

The preparation of financial statements requires management to make estimates and assumptions that affect reported amounts; actual results could differ from those estimates.

Inventories, consisting of raw materials, work in process, and finished goods, are stated at the lower of cost and net realizable value. Cost is determined using the first-in, first-out (FIFO) method.

Property and equipment are stated at cost. Depreciation is computed using the straight-line method over estimated useful lives of the assets, ranging from 5 to 15 years.

The Company, with the consent of its stockholders, has elected to be taxed as an S corporation. Taxable income or loss passes through to its stockholders; accordingly, the financial statements include no provision for federal income taxes.

Note 2 - Receivables

Receivables at December 31, 2024 consist of the following:

Accounts receivable - trade	\$398,162
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Note 3 - Accounts Payable and Accrued Liabilities

Accounts payable and accrued liabilities at December 31, 2024 consist of the following:

Accounts payable	\$50,719
Accrued expenses	\$3,699
Accrued payroll	\$3,440
Total	\$57,858

Note 4 - Property and Equipment

Property and equipment at December 31, 2024 consist of the following:

Property and equipment	\$4,793,423
Less accumulated depreciation	\$(3,968,918)
Property and equipment, net	\$824,505
Depreciation expense for 2024	\$549,670

Note 5 - Long-Term Debt

Term loan payable to Lakeshore Bank & Trust, bearing interest at 10.62%, payable monthly through 12/31/2044.

Balance at December 31, 2024	\$3,500,000
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Note 6 - Subsequent Events

Management has evaluated subsequent events through the date the financial statements were available to be issued and noted no matters requiring disclosure.